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Tutorial note

1. If prepaid expense already appears in trial balance it means that it is already adjusted and journal entry has already been made. Hence, prepaid expense is shown only in balance sheet.
2. At the beginning of the next accounting period, the above entry is reversed to bring into account prepaid expenses at the beginning so that it is added to amount of expense of next year.

Example

Insurance premium of ` 6,000 for one year is paid on 1st January, 2016 and the accounting year closes on 31st March, 2016.

In this example, insurance premium has been paid in advance or prepaid for nine months, i.e. from 1st April to 31st December amounting to ` 4,500 (i.e., ` 6000 × 9/12). The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Prepaid insurance premium A/c	Dr.		4,500	
March 31	To Insurance premium A/c				4,500
	(Insurance premium paid in advance adjusted)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Insurance premium	6,000				
Less: Prepaid insurance	4,500	1,500			

Balance Sheet as on 31st March, 2016

Liabilities	`	Assets	`
		Insurance premium prepaid	4,500

(iv) Accrued income

Accrued income is income or portion of income which has been earned during the current accounting year but not received till the end of that accounting year. It generally happens in case of amount to be received on account of commission, interest, dividend, etc.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Accrued income A/c	Dr.		xxx	
To Concerned income A/c				xxx
(Income accrued adjusted)				